

ADDENDUM I: FISCAL HYPOCRISY EVIDENCE

The \$49 Million Healthcare Corruption Scandal vs. AISH Budget Cuts

Identical Dollar Amounts Expose False 'Fiscal Necessity' Claims

EXECUTIVE SUMMARY

The Government of Alberta cut AISH funding by \$49 million in Budget 2025, citing fiscal necessity. Simultaneously, Alberta Health Services lost exactly \$49 million to a healthcare procurement scandal involving contracts that delivered no medication. This represents fiscal hypocrisy: the government absorbs identical corruption losses while claiming poverty for disability supports.

THE IDENTICAL \$49 MILLION AMOUNTS

Category	Amount	Government Response
AISH Budget Cut (2025)	\$49 million	'Fiscal necessity' - transition to ADAP required
Healthcare Corruption Loss	\$49 million	Legal recovery attempted - no cuts elsewhere
Heritage Fund Deposits (2022-2025)	\$5.6 billion	Surplus capacity demonstrated

HEALTHCARE CORRUPTION SCANDAL DETAILS

Premier Danielle Smith confirmed Alberta Health Services is pursuing legal action to recover \$49 million paid for medication never received. The scandal involves MHCare Medical and Turkish pharmaceutical company Atabay, with RCMP executing search warrants in March 2026 as part of ongoing criminal investigation.

Key Corruption Elements:

- \$70 million contract awarded to MHCare for children's pain medication from Turkey
- Alberta received only 30% of medication order despite paying full cost
- RCMP search warrants executed at MHCare offices in Edmonton
- Former AHS CEO Athana Mentzelopoulos alleges firing for investigating procurement irregularities
- \$614 million total in contracts secured by Mraiche-related firms since 2020

AISH BUDGET CUT DETAILS

Alberta Budget 2025 cut AISH program funding by \$49 million for 2025-26, with projections showing additional cuts of \$22 million in 2026-27 and \$6 million in 2027-28. The government cited 'caseload growth, benefit rate increases, and anticipated federal Canada Disability Benefit contributions' as justification.

Budget Impact on 77,000+ AISH Recipients:

- AISH program funding reduced from \$1.690 billion to \$1.641 billion
- Federal Canada Disability Benefit (\$200/month) treated as non-exempt income (clawback)
- Mandatory transition to ADAP (lower benefits, reduced appeal rights) scheduled July 2026

FISCAL CONTRADICTION ANALYSIS

The identical \$49 million amounts reveal fiscal policy contradictions:

1. Disability Supports: Government claims fiscal necessity requires \$49 million cut affecting 77,000+ vulnerable Albertans
2. Corruption Absorption: Government absorbs \$49 million loss to procurement failures without equivalent cuts elsewhere
3. Surplus Capacity: \$5.6 billion deposited in Heritage Fund (2022-2025) demonstrates available resources

IMPLICATIONS FOR ADAP TRANSITION

This evidence undermines the core fiscal justification for mandatory AISH-to-ADAP transition. The government cannot credibly claim fiscal necessity for disability support cuts while demonstrating capacity to absorb identical losses to corruption without equivalent reductions in other areas.

The pattern demonstrates systematic exclusion disguised as fiscal responsibility: funding exists for corruption absorption but not for maintaining disability supports at adequate levels.

SOURCE INDEX

Healthcare Corruption Scandal Sources:

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2. French, Janet. 'RCMP visit Edmonton offices of business at centre of Alberta health procurement probes.' CBC News, March 19, 2026.
3. Guarin, Gates. 'RCMP search MHCare, company linked to Alberta health corruption probe.' Global News, March 19, 2026.
4. 'Alberta health authority trying to recoup millions it paid MHCare for drugs never delivered.' The Globe and Mail, March 26, 2026.
5. 'The Alberta health care procurement controversy, explained.' The Globe and Mail, April 10, 2026.
6. 'Timeline of Alberta's 'Corrupt Care' Scandal: RCMP and Auditor General Investigations into Health Procurement.' AB Resistance, April 10, 2026.

AISH Budget Cut Sources:

7. Oram, Tristan. 'Alberta budget 2025 cuts AISH funding by \$49-million.' St. Albert Gazette, February 27, 2025.
8. 'Alberta budget 2025 cuts AISH funding by \$49-million.' Rocky Mountain News, February 27, 2025.
9. 'Understanding Alberta's Disability Program Funding Cuts and Advocacy Effects.' Entrust Disability Services, June 4, 2025.

Heritage Fund Sources:

10. Emes, Joel and Tegan Hill. 'Alberta government's new budget officially puts a halt to Heritage Fund deposits.' Fraser Institute, February 26, 2026.

CONCLUSION

The \$49 million healthcare corruption scandal exposes the false 'fiscal necessity' narrative used to justify AISH cuts and ADAP transition. The government demonstrates capacity to absorb corruption losses while claiming budget constraints require disability support reductions.

This evidence supports the core thesis: systematic exclusion is disguised as fiscal responsibility. The money exists - it is being lost to mismanagement rather than directed toward supporting Albertans with disabilities.